Income Taxes

Significant components of the provision for income taxes including those related to minority interest and discontinued operations are as follows:

(In thousands)	2008	2007	2006
Current:			
Federal	$ 18,165	$ 53,965	$ 61,399
State	2,402	6,588	8,671
Foreign	482	811	678
Current provision	21,049	61,364	70,748
Deferred:			
Federal	3,265	(3,031)	(7,528)
State	222	(353)	(651)
Foreign	(954)	(418)	(483)
Deferred provision	2,533	(3,802)	(8,662)
	$ 23,582	$ 57,562	$ 62,086

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A reconciliation of the statutory federal income tax rate to the Corporation's effective income tax rate for continuing operations is as follows:

	2008	2007	2006
Federal statutory tax rate	35.0%	35.0%	35.0%
State taxes, net of federal tax effect	2.5	2.3	2.8
Credit for increasing research activities	(2.5)	(0.9)	(0.7)
Deduction related to domestic production activities	(1.8)	(1.4)	(0.8)
Extraterritorial income exclusion	-	-	(0.4)
Excludable foreign income	(1.6)	(2.0)	(0.7)
True-up of deferred tax items	-	-	(2.1)
Basis in subsidiary	(4.5)	-	-
Valuation allowance	4.5	-	-
Other – net	2.6	(0.7)	(0.1)
Effective tax rate	34.2%	32.3%	33.0%

The Corporation recorded additional deferred tax assets for the tax basis in the stock of a subsidiary in excess of the net tax basis of the subsidiary's assets and liabilities. The valuation allowance relates to capital losses that are expected to expire unused.

In the fourth quarter of 2006, the Corporation completed a detailed analysis of all deferred tax accounts and determined that net deferred income tax liabilities were overstated by $4.1 million. This overstatement primarily relates to a deferred tax liability associated with property, plant and equipment, partially offset by an overstated deferred tax asset associated with inventory. In analyzing the difference, the Corporation determined the items originated in fiscal years prior to 2002. To correct this difference, the Corporation reduced income tax expense in the fourth quarter of 2006 by $4.1 million. The effect of this adjustment is to reduce the effective income tax rate related to continuing operations by 2.1 percentage points for the year and increase earnings per share from continuing operations by $0.08.

Deferred income taxes reflect the net tax effects of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes.

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Significant components of the Corporation's deferred tax liabilities and assets are as follows:

(In thousands)	2008	2007	2006
Net long-term deferred tax liabilities:			
Tax over book depreciation	$ (1,028)	$ 1,614	$ (1,052)
Compensation	3,175	4,624	4,899
Goodwill	(42,802)	(38,559)	(33,826)
Basis in subsidiary	5,314	-	-
Valuation allowance	(1,981)	-	-
Other – net	12,051	5,649	658
Total net long-term deferred tax liabilities	(25,271)	(26,672)	(29,321)
Net current deferred tax assets:			
Allowance for doubtful accounts	2,601	3,491	3,563
Vacation accrual	3,646	5,302	5,323
Inventory differences	3,878	2,572	3,096
Deferred income	(3,836)	(4,484)	(5,880)
Warranty accruals	5,177	4,234	3,906
Valuation allowance	(1,092)	-	-
Other – net	5,939	6,713	5,432
Total net current deferred tax assets	16,313	17,828	15,440
Net deferred tax (liabilities) assets	$ (8,958)	$ (8,844)	$ (13,881)

In June 2006, the FASB issued FIN 48. FIN 48 addresses the determination of whether tax benefits claimed or expected to be claimed on a tax return should be recorded in the financial statements. Under FIN 48, the Corporation may recognize the tax benefit from an uncertain tax position only if it is more likely than not that the tax position will be sustained on examination by the taxing authorities, based on the technical merits of the position. The tax benefits recognized in the financial statements from such a position should be measured based on the largest benefit that has a greater than fifty percent likelihood of being realized upon ultimate settlement. FIN 48 also provides guidance on derecognition, classification, interest and penalties on income taxes, and accounting in interim periods and requires increased disclosures.

The Corporation adopted the provisions of FIN 48 on December 31, 2006, the beginning of fiscal 2007. As a result of the implementation of FIN 48, the Corporation recognized a $1.7 million increase in the liability for unrecognized benefits. This increase in liability resulted in a decrease to the December 31, 2006 retained earnings balance in the amount of $0.5 million and a reduction in deferred tax liabilities of $1.2 million.

(in thousands)	2008	2007
Unrecognized tax benefits, beginning of period	$ 2,839	$ 3,895
Increases in positions taken in a prior period	796	49
Decreases in positions taken in a prior period	(52)	(6)
Increases in positions taken in a current period	834	1,018
Decreases due to settlements	(392)	(2,117)
Decrease due to lapse of statute of limitations	(380)	-
Unrecognized tax benefits, end of period	$ 3,646	$ 2,839

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The amount of unrecognized tax benefits which would impact the Corporation's effective tax rate, if recognized, was $3.2 million at January 3, 2009, $2.3 million at December 29, 2007 and $2.7 million at December 31, 2006.

The Corporation recognized interest accrued related to unrecognized tax benefits in interest expense and penalties in operating expenses which is consistent with the recognition of these items in prior reporting. Interest and penalties recognized in the Consolidated Statements of Income amounted to a benefit of $0.1 million. The Corporation had recorded a liability for interest and

penalties related to unrecognized tax benefits of $0.4 million, $0.4 million, and $0.9 million as of January 3, 2009, December 29, 2007 and December 31, 2006, respectively.

The Internal Revenue Service (the “IRS”) has completed the examination of all federal income tax returns through 2004 with no issues pending or unresolved. The years 2005 through 2008 remain open for examination by the IRS. The years 2004 through 2008 are currently under examination or remain open to examination by several states.

As of January 3, 2009, it is reasonably possible the amount of unrecognized tax benefits may increase or decrease within the twelve months following the reporting date. These increases or decreases in the unrecognized tax benefits would be due to new positions that may be taken on income tax returns, settlement of tax positions and the closing of statues of limitation. It is not expected that any of the changes will be significant individually or in total to the results or financial position of the Corporation.